

Assignment 4 (Merchandise Inventory)

The following data was taken from ledger account balances and supplementary data for the Whisk Company.

Merchandise inventory, beginning.....	\$ 20,000
Merchandise inventory, ending.....	23,000
Purchases.....	215,000
Purchases discounts	6,000
Purchases returns and allowances.....	3,000
Sales	400,000
Sales discounts	3,200
Sales returns and allowances	1,800
Transportation-in.....	10,000

Require:

Show the **computation** in Income Statement format of **net sales, cost of goods sold and gross profit** for the year ended on December 31, 20X1.

